

THE LOW-VAT DIET

SLIMMING DOWN ON WEIGHT AND TAXES



ARE YOU ONE OF THOSE PEOPLE WHO PROMISED YOURSELF THAT YOU ARE GOING TO EAT MORE HEALTHY, LOSE WEIGHT AND GET INTO SHAPE FOR THE NEW YEAR AFTER YOU INDULGED YOURSELF IN THAT CHRISTMAS PUDDING OR HAD A BIT TOO MUCH AT THAT NEW YEAR'S PARTY, BUT UP TO NOW STRUGGLED TO KEEP TO YOUR DIET PLAN OR FOUND DIET FOOD TO BE JUST TOO EXPENSIVE? WE HAVE THE PERFECT SOLUTION FOR YOU...

Slim down on your grocery list by buying VAT-free (Value-Added Tax) food items and you will be pleasantly surprised on how VAT-free food items can be cleverly combined into a healthy eating programme that are simultaneously good for your figure and will result in VAT savings of 14% per food item on your personal budget.

Section 11(1)(j) of the Value Added Tax Act of No. 89 of 1991 read together with the Second Schedule to this Act provides for the supply of certain basic foodstuffs to be zero rated. This means that consumers could purchase these food items at a price inclusive of 0% VAT instead of paying the standard VAT rate levied at 14%. The legislation contains a list of 19 food items that qualify for the zero-rating and includes items like fresh fruit and vegetables, brown bread, pilchards, milk, rice and eggs (just to mention a few).

This list of zero-rated items seems easy to apply at first, but tends to be harder to interpret once it is applied practically. If we take brown bread, for example: if a white bread is marketed as a brown bread disguised as white promising you the "best of both" this could create confusion in determining whether the bread you are buying will be classified as a white bread (meaning you will be charged VAT at the standard rate of 14% on it) as opposed to it being classified as a brown bread that will qualify as a zero-rated food item, saving you the VAT of 14%. Due to problematic practical scenarios like this, the South African Revenue Service (SARS) provides guidance in the form of numerous general rulings and VAT news articles on zero-rated foodstuffs.

WHAT DOES LEGISLATION SAY?

Regulation 1 of Government Notice Nr. R 577 provides that brown bread shall consist of dough made from brown wheaten meal and water, with or without other ingredients that has been fermented by yeast or otherwise leavened and which has been baked in any form, size or shape.

VAT Practice Note: No. 12 determines that the supply of any type of brown bread shall be subject to tax at the zero rate, provided that:

- (i) it is marketed and sold under the description brown bread;
- (ii) the meal content of the dough consists of at least 50 per cent brown bread meal; and
- (iii) the mass of the loaf exceeds 100 grams.

A further requirement is that brown bread will be subject to the zero rate only where it is not supplied in the course of the provision of a meal or refreshment. Buying a health brown bread sandwich from the canteen or cafeteria at work will therefore not apply for VAT at the zero rate. This means that you will have to make your lunchbox sandwiches yourself, but keep in mind that you will burn an extra few calories in the planning and preparation.

Therefore, you must be careful when selecting food items from the shelves as small differences like ingredient content, the condition in which a food item is sold, or the way a food item is marketed will determine whether that product is offered to you at a price inclusive of VAT at 14% or at a VAT rate of zero per cent, making a difference to your pocket.

HELPFUL TIPS

In an approach to ensure that you are loading your shopping basket with the correct food items in order to obtain the tax benefit of zero-rated products, you must be aware of certain guidelines. There is a possibility that your grocer may erroneously sell a product to you at the incorrect VAT rate, not only causing direct financial loss to himself, but also adding unnecessary expense to your account. In certain circumstances where foodstuffs are further prepared or processed, the zero rating

does not apply. In other cases where additives or flavourings were added or where food is cooked or supplied as a ready-to-eat meal, VAT will be charged at the rate of 14%.

Keep the following tips in mind:

Milk versus milk powder (both zero-rated products)

Milk powder costs less than fresh milk and has a similar nutrient content. Milk powder does not need to be stored in the refrigerator and can therefore be bought in bulk to save additional money. If you prefer the taste of fresh milk, you can save money by mixing one litre of fresh milk with 100 grams of milk powder and one litre of water. Unfortunately, you must do away with milkshakes as sweetened-flavoured milk is excluded from the zero rating.

Fruit and vegetables

Fruit and vegetables are zero rated except if cooked or treated in any manner except for the purpose of preserving such fruit or vegetables in their natural state. If you buy fruit or vegetables that are already chopped or sliced, it will still qualify for the zero rating as chopping and slicing do not qualify as “treated in any manner”. Therefore, feel free to buy freshly sliced fruit, frozen chopped vegetables like stir fry mix and freshly sliced vegetables, but be aware of the fact that these fruit and vegetables are usually a bit more expensive. Do not be lazy, sharpen your knives and start chopping while saving money. Also keep in mind that dehydrated, dried, canned or bottled fruit and vegetables are excluded from the zero-rate provisions. This is actually good news as fruit and vegetables that are dried in the sun have lost a lot of their nutritional value. It is important to choose any fruit or vegetable in season as they are cheaper, fresher and more freely available. Limit the purchasing of expensive

vegetables such as mushrooms, green peppers and bean sprouts.

Pilchards

It does not matter whether this fish is flavoured, seasoned or preserved in oil, it will still qualify for the zero rating. The fact that it is tinned or canned also does not exclude it from being zero rated as long as the content of the can or tin consists of mainly pilchards. Further good news is that tinned fish is the cheapest form of fish.

Vegetable oil

Although olive oil is a well-known healthy alternative used in the preparation of food, it is important to be aware of the fact that olive oil is specifically excluded from the zero-rated items as listed in the Second Schedule to the VAT Act. Vegetable oils that do qualify for the zero rating as a cheaper alternative as opposed to butter are sunflower oil, canola oil or blended cooking oil..



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THE VAT-FREE DIET

The VAT-free diet (indicated below) that you can follow includes 13 of the 19 zero-rated food items listed in the Second Schedule to the VAT Act and includes: brown bread, maize meal, dried beans, lentils, pilchards, milk and milk powder, rice, vegetables, fruit, vegetable oil, eggs and legumes (for example, peas and soya).

A seven-day VAT-free diet, compiled in collaboration with the Nutrition Information Centre from the University of Stellenbosch (NICUS), can be used as a guideline to a healthy, well balanced and economical lifestyle for moderate active healthy adult females or inactive healthy adult males.

DAY 1	DAY 2	DAY 3	DAY 4	DAY 5	DAY 6	DAY 7
BREAKFAST	BREAKFAST	BREAKFAST	BREAKFAST	BREAKFAST	BREAKFAST	BREAKFAST
1 cup of cooked maize porridge, with 125 ml skim or low-fat milk, 5 ml sugar* 1 cup seasonal fruit tea/coffee*, with 60 ml skim or low-fat milk	2 slices of brown bread, with 3 heaped teaspoons peanut butter* 125 ml skim or low-fat milk tea/coffee*, with 60 ml skim or low-fat milk	1 cup of cooked maize porridge, with 125 ml skim or low-fat milk, 5 ml sugar* 1 cup seasonal fruit tea/coffee*, with 60 ml skim or low-fat milk	1 cup of cooked maize porridge, with 125 ml skim or low-fat milk, 5 ml sugar* tea/coffee*, with 60 ml skim or low-fat milk	1 cup of cooked maize porridge, with 125 ml skim or low-fat milk, 5 ml sugar* 1 cup seasonal fruit tea/coffee*, with 60 ml skim or low-fat milk	1 cup of cooked maize porridge, with 125 ml skim or low-fat milk, 5 ml sugar* tea/coffee*, with 60 ml skim or low-fat milk	2 slices brown bread, with 5 ml soft margarine* and jam* 250 ml skim or low-fat milk tea/coffee*, with 60 ml skim or low-fat milk
LIGHT MEAL	LIGHT MEAL	LIGHT MEAL	LIGHT MEAL	LIGHT MEAL	LIGHT MEAL	LIGHT MEAL
2 slices brown bread, with 5 g soft margarine* ½ cup dried beans 1 sliced tomato 1 cup seasonal fruit 250 ml skim or low-fat milk	2 slices brown bread, with soft margarine* 1 egg 1 sliced tomato 1 cup seasonal fruit 250 ml skim or low-fat milk	2 slices brown bread, with soft margarine* 1 egg 1 sliced tomato 250 ml skim or low-fat milk	2 slices brown bread, with soft margarine* 90 g pilchards 1 cup seasonal fruit 250 ml skim or low-fat milk	2 slices brown bread, with soft margarine* 90 g pilchards 1 sliced tomato 250 ml skim or low-fat milk	2 slices brown bread, with peanut butter* or 1 egg 1 cup seasonal fruit 250 ml skim or low-fat milk	1 cup lentils ½ cup dried beans 1 tomato 1 onion 1 cup cabbage 5 ml sunflower/ canola oil 1 cup seasonal fruit 250 ml skim or low-fat milk
MAIN MEAL	MAIN MEAL	MAIN MEAL	MAIN MEAL	MAIN MEAL	MAIN MEAL	MAIN MEAL
1 cup lentils 1 cup seasonal vegetables 2/3 cup rice 10 ml sunflower/ canola oil tea/coffee*, with 60 ml of skim or low-fat milk	1 cup of cooked maize porridge 90 g pilchards ½ cup tomato and onions 1 cup cabbage ½ cup pumpkin 10 ml sunflower/ canola oil tea/coffee*, with 60 ml skim or low-fat milk 1 cup seasonal fruit	2½ cups of beans 1 cup spinach ½ cup carrots 1 sliced tomato 10 ml sunflower/ canola oil tea/coffee*, with 60 ml skim or low-fat milk 1 cup seasonal fruit	2/3 cups of rice/maize rice 60 g beef*/ pork* or chicken* 1 cup cabbage ½ cup carrots 10 ml sunflower/ canola oil tea/coffee*, with 60 ml low-fat milk 1 cup seasonal fruit	2/3 cups of rice/maize rice 1 cup lentils 1 cup green beans ½ cup carrots 10 ml sunflower/ canola oil tea/coffee*, with 60 ml skim or low-fat milk 1 cup seasonal fruit	2 ½ cups of beans ½ cup tomato and onion 1 cup spinach ½ cup pumpkin 10 ml sunflower/ canola oil tea/coffee*, with 60 ml skim or low-fat milk 1 cup seasonal fruit	90 g chicken* 1 medium potato 1 cup split peas ½ cup carrots 10 ml sunflower/ canola oil tea/coffee*, with 60 ml skim or low-fat milk 1 cup seasonal fruit

(*) Products are not zero-rated items listed in the Second Schedule to the VAT Act but are necessary for a balanced diet.

All portion sizes refer to cooked food with the exception of fruit.

- Daily extras:
- The following can be used as additional snacks or menu items:
- 250 ml skim or low-fat milk (may be consumed with additional cups of tea).
 - One teaspoon of salt for food preparation and seasoning.
 - Herbs and spices.

The following vegetables can be eaten without restriction and according to appetite (no added fat or sauce): broccoli, cauliflower, cabbage, baby marrow and brinjal.

In order to live a cheap and healthy lifestyle, just sticking to the seven-day VAT-free diet will not be enough. Water is an essential nutrient and a vital component of good nutrition and no other substance is as widely involved in as many different functions in the body as water. If you are a male, it is recommended that your daily water intake is 12 glasses as opposed to 10 glasses for female. Tap water is freely available and there is no need to buy expensive bottled water on a restricted budget. Enjoy!

REFERENCES

Value Added Tax Act No. 89 of 1991
VAT Practice Note: No. 12 of 24 November 1993
Nutrition Information Centre University of Stellenbosch (NICUS)

